

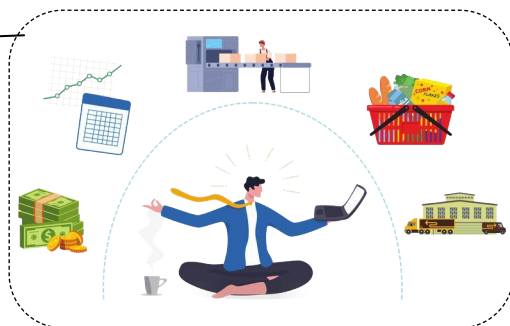


Applying the models of the circuit will help identify industries that are relatively more profitable and businesses within them that perform better than their counterparts.

The models will also help identify the 'why' behind such outperformance. For those who wish to own, run or analyse any business, the '9-point circuit' is designed as a framework around which they can build their analysis, without being overwhelmed by the quantum of raw data presented.

Starting in any industry or venturing into an idea for the purpose of investment requires concrete research to understand the variables of the business.

Once a business is operational, one of the most difficult tasks is to detach oneself and look at the industry level factors- biggest picture. We will learn about it in the book.



The 9-point circuit helps achieve the same. It also helps understand the basic characteristics of the industry, its attractiveness, and the key success factors for firms in the industry. Then it constantly provides the questions that will help one think objectively about the industry.